

We can well imagine what Warren Buffett might say. For him, the moral of the story is clear: We have to drop our insistence on price as the only measuring stick, and we have to break ourselves of the counterproductive habit of making short-term judgments.

But if price is not the measuring stick, what are we to use instead? “Nothing” is not a good answer. Even buy-and-hold strategists don’t recommend keeping your eyes shut. We just have to find another benchmark for measuring performance. Fortunately, there is one, and it is the cornerstone of how Buffett judges his performance and the performance of his operating units at Berkshire Hathaway.

Warren Buffett once said he “wouldn’t care if the stock market closed for a year or two. After all, it closes on Saturday and Sunday and that hasn’t bothered me yet.”⁴⁶ It is true that “an actively trading market is useful, since it periodically presents us with mouth-watering opportunities,” said Buffett. “But by no means is it essential.”⁴⁷

To fully appreciate this statement, you need to think carefully about what Buffett said next. “A prolonged suspension of trading in securities we hold would not bother us any more than does the lack of daily quotations for [Berkshire’s wholly owned subsidiaries]. Eventually our economic fate will be determined by the economic fate of the business we own, whether our ownership is partial [in the form of shares of stock] or total.”⁴⁸

If you owned a business and there were no daily quotes to measure its performance, how would you determine your progress? Likely you would measure the growth in earnings, the increase in return on capital, or the improvement in operating margins. You simply would let the economics of the business dictate whether you were increasing or decreasing the value of your investment. In Buffett’s mind, the litmus test for measuring the performance of a publicly traded company is no different. “Charlie and I let our marketable equities tell us by their operating results—not by their daily, or even yearly, price quotations—whether our investments are successful,” he explains. “The market may ignore a business success for a while, but it eventually will confirm it.”⁴⁹

But can we count on the market to reward us for picking the right companies? Can we draw a significantly strong correlation between the